

Multiple Choice (10 marks)

1. What is the rate of return on a $5\frac{1}{2}\%$ preferred stock having a par value of \$50 and selling for $52\frac{3}{4}$. Give answer to nearest $(1 / 10)\%$.
 - (a) 4.5%
 - (b) 4.8%
 - (c) 5.7%
 - (d) 5.5%
 - (e) 6.0%
2. From what does a chain of command extend?
 - (a) Bottom to top
 - (b) Top to bottom
 - (c) Horizontally
 - (d) Randomly
 - (e) Inside to outside
3. What is the annual cost of a 20-payment life policy with a face of \$4,000 for a 25-year old, if the payments are made (a) annually (b) semiannually (c) quarterly?
 - (a) Annual: 91.80, *Semiannual* :88.28, Quarterly: \$90.04
 - (b) Annual: 82.50, *Semiannual* :41.25, Quarterly: \$20.63
 - (c) Annual: 45.02, *Semiannual* :22.95, Quarterly: \$88.28
 - (d) Annual: 75.50, *Semiannual* :37.75, Quarterly: \$19.00
 - (e) Annual: 100.00, *Semiannual* :51.00, Quarterly: \$26.00
4. Round .1476 to (a) 2 decimal places (b) 3 decimal places (c) 1 decimal place.
 - (a) (a) .15 (b) .148 (c) .1
 - (b) (a) .15 (b) .147 (c) .14
 - (c) (a) .14 (b) .148 (c) .2
 - (d) (a) .14 (b) .149 (c) .14
 - (e) (a) .15 (b) .149 (c) .15
5. The cost of a stock was \$4,200. If its selling price was 85% percent of the total cost, find the selling price.

- (a) \$3,780
- (b) \$3,990
- (c) \$3,150
- (d) \$3,400
- (e) \$4,500

True / False (10 marks)

Answer True or False

6. True or False: The earnings per share of a company with a profit of 4,750 and 1,000 shares outstanding is \$4.75.
7. True or False: The original cost of the merchandise sold by the wholesaler is \$1,400.00, reflecting an 8 percent loss on the sale price.
8. True or False: Daniel's sales amounted to 4243, resulting in a commission of 275.08 at a rate of 6.5%.
9. True or False: The percent markup based on the cost of the C.B. radio is 38.28% and based on the selling price is 27.68%.
10. True or False: An investment yielding 900 annually at a 6 percent return indicates a principal amount of 15,000.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the process of calculating the net amount obtained from an initial sum of \$4,500.00 when successively discounted at rates of 20%, 15%, and 2.5%. Include detailed calculations and implications.
12. Discuss how Mr. Smith's insurance policies with Companies A and B would determine the amount he collects after a \$2,900 fire damage, considering policy limits and prorated claims.

End of Paper